

Cumulus Bank

Commercial banking from Cumulus Bank



COMMERCIAL LENDING

BL-SBA-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · COMMERCIAL LENDING

SBA Loans

Cumulus is an SBA Preferred Lender, delivering 7(a), 504, and Express credit with expedited decisioning, longer amortization, and broader eligibility than conventional commercial credit.

PREFERRED LENDER STATUS	SBA Preferred Lender Program (PLP)
7(A)	Up to \$5,000,000 · Prime + 2.25% – 4.75%
504	Up to \$5,500,000 · bank 1st + CDC 2nd at ~6.00%
SBA EXPRESS	Up to \$500,000 · 36-hour SBA approval
USE OF PROCEEDS	Real estate, equipment, working capital, acquisitions, refi
GUARANTY	75% – 85% SBA guaranty depending on program and size
PERSONAL GUARANTY	Required from each 20%+ owner
AMORTIZATION	Up to 25 yrs (real estate) · 10 yrs (other)

AT A GLANCE

Overview

The U.S. Small Business Administration does not lend directly. Instead, the SBA guarantees a portion of loans made by participating banks to qualifying small businesses — expanding access to credit for borrowers whose size, structure, or collateral profile does not fit a conventional commercial underwriting. As an SBA Preferred Lender, Cumulus has delegated credit authority to approve SBA-guaranteed loans internally, substantially shortening the decision cycle. Cumulus offers the three principal SBA programs: 7(a) for general-purpose lending, 504 for owner-occupied real estate and long-lived equipment, and SBA Express for smaller working-capital needs.

7(A), 504, AND EXPRESS

Program overview

SBA 7(A) SBA 7(a) General-purpose loan for working capital, equipment, real estate, business acquisitions, partner buyouts, and debt refinance. Amounts up to \$5M; variable rate Prime + 2.25% – 4.75%; SBA guaranty 75% (\$150K+) / 85% (smaller).	SBA 504 SBA 504 Owner-occupied real estate and long-lived fixed assets. Bank provides a 50% first mortgage; a Certified Development Company (CDC) provides a 40% SBA-guaranteed second at a fixed CDC debenture rate (illustrative 6.00%); borrower equity 10% (15% for start-ups or special-purpose).
SBA EXPRESS SBA Express Fast-track 7(a) loan up to \$500,000 with 36-hour SBA approval commitment (Cumulus delegated authority typically decisions in 5–7 business days). Rate Prime + 4.5% – 6.5%; SBA guaranty 50%.	EXPORT WORKING CAPITAL Export Working Capital Financing for export-related inventory and receivables. Up to \$5M with SBA guaranty up to 90%. Available to businesses with established export revenue.
INTERNATIONAL TRADE International Trade Permanent financing for fixed assets and working capital tied to export expansion. Up to \$5M with 90% SBA guaranty on the export-related portion.	VETERANS ADVANTAGE Veterans Advantage Reduced SBA guaranty fees for businesses 51%+ owned by veterans, service-disabled veterans, active-duty military, and qualifying spouses.

PRICING

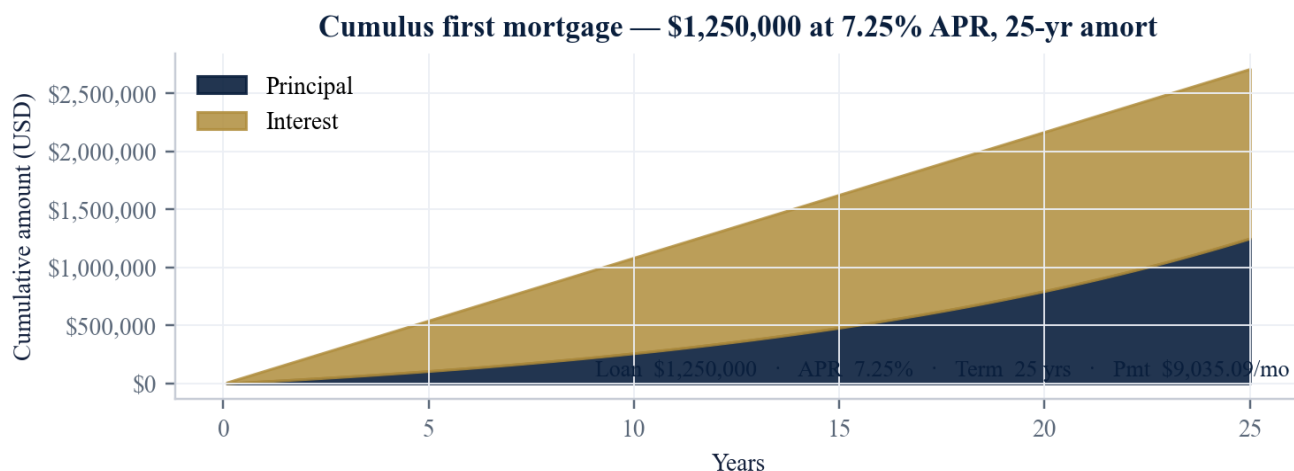
Rates and fees by program

PROGRAM	AMOUNT CEILING	RATE (ILLUSTRATIVE)	SBA GUARANTY FEE	MAX MATURITY
7(a) — Standard	\$5,000,000	Prime + 2.25% – 4.75% (10.25% – 12.75%)	3.5% on guaranteed portion > \$150K (waivable)	25 yrs RE · 10 yrs other
7(a) — Small Loan (≤ \$350K)	\$350,000	Prime + 4.25% – 4.75% (12.25% – 12.75%)	0% under \$150K	10 yrs
504 — CDC portion	\$5,500,000	6.00% fixed (CDC debenture; set monthly)	0.50% CDC processing	10, 20, or 25 yrs
504 — bank portion	50% of project	6.75% – 7.75% fixed (5/10-yr reset)	None	10 yrs (5-yr balloon typical)
SBA Express	\$500,000	Prime + 4.5% – 6.5% (12.50% – 14.50%)	2.0% – 3.5%	10 yrs (working capital)
Export Working Capital	\$5,000,000	Prime + 2.50% – 3.50%	0.25% annual guaranty	Up to 3 yrs

504 CASH-FLOW ILLUSTRATION

Illustrative owner-occupied 504 structure

A \$2,500,000 owner-occupied real-estate project — 50% Cumulus first (\$1.25M), 40% CDC second (\$1.0M), 10% borrower equity (\$250K) — supports the illustration below. The bank piece is amortized over 25 years at 7.25% with a 10-year balloon; the CDC debenture is fully amortizing at 6.00% over 25 years.



HOW 504 IS ASSEMBLED

SBA 504 structure in detail

PROJECT COMPONENT	PERCENT OF PROJECT	SOURCE	TYPICAL RATE / TENOR
Land and building (acquisition or construction)	50%	Cumulus Bank — first mortgage	6.75%–7.75% fixed; 25-yr amort; 10-yr balloon
CDC debenture (SBA-guaranteed)	40%	Certified Development Company	6.00% fixed; 25-yr fully amortizing
Borrower equity injection	10% (15% start-up / 15% special-purpose)	Borrower	Cash or SBA-approved seller carryback
Soft costs — eligible	Included in project	Financed within 504 structure	Per SBA SOP 50 10
Total project	100%	Bank (1st) + CDC (2nd) + equity	—

WHY OWNERS CHOOSE 504

504 provides the lowest blended cost of capital for owner-occupied commercial real estate, fixed-rate for 25 years on the CDC piece with only 10% borrower equity. The bank first, CDC second, and borrower equity together fund up to 90% of project cost — well above conventional CRE LTV limits.

SBA REQUIREMENTS

Eligibility and documentation



SBA eligibility criteria

- Operate as a for-profit business in the United States (or its territories); meet SBA size standard for industry (varies by NAICS — typically ≤ \$10M – \$40M revenue).
- Demonstrate the ability to repay from projected cash flow.
- Invest equity and have reasonable owner capital.
- Use the loan proceeds for an eligible business purpose.
- Be unable to obtain credit on reasonable terms from non-federal sources (credit-elsewhere test).
- Not engaged in an ineligible activity: lending, speculative real estate, gambling, pyramid sales, religious activities.
- Principals must be of good character (SBA Form 912 background review).

Documentation required

- SBA Forms 1919, 912 (each principal), 413 (personal financial statement).
- Three years of business tax returns with all schedules and K-1s.
- Three years of personal tax returns for each 20%+ owner.
- Current YTD interim financial statement (within 60 days).
- Business debt schedule itemizing all outstanding commercial debt.
- Detailed use-of-proceeds schedule with supporting quotes, appraisals, or purchase agreements.
- Two-year financial forecast with assumptions narrative.
- Corporate formation documents and authorizing resolution.
- For real-estate transactions: purchase agreement, environmental Phase I, appraisal, and occupancy schedule.

HOW IT WORKS

SBA loan process

STEP	WHAT HAPPENS	TIMING
1 · Pre-qualification	Relationship Manager and SBA Specialist review eligibility, program fit (7(a) vs 504 vs Express), and high-level structure.	Days 1–3
2 · Application package	Client completes SBA forms; Cumulus submits complete package to internal SBA Credit Committee.	Days 3–14
3 · Credit decision	Preferred Lender delegated approval issued by Cumulus; SBA loan number obtained from SBA E-Tran.	Days 14–21 (7(a) / 504)
4 · Closing preparation	Title, appraisal, environmental, UCC search, and SBA-required authorizations prepared. For 504, CDC engages concurrently.	Days 21–60
5 · Funding	Cumulus funds the bank portion at closing. For 504, CDC debenture funds 45–75 days later at next debenture sale; interim financing bridges.	Day 60–120
6 · Servicing	Ongoing servicing by Cumulus including annual site visit for larger loans, 1502 reporting to SBA, and covenant review.	Ongoing

POST-CLOSING

Covenants and ongoing requirements

REQUIREMENT	DETAILS
Life insurance	SBA generally requires life insurance on key owners for amounts above \$350,000, assigned to Cumulus as loss-payee.
Hazard and flood insurance	Required on real-estate collateral; flood insurance mandatory in Special Flood Hazard Areas.
Occupancy	Owner-occupied CRE must be at least 51% occupied by the borrower (existing building) or 60% (new construction with 80% planned occupancy within 10 years).
Annual financial statements	Company-prepared financials within 120 days of fiscal year end; CPA-reviewed or audited for larger facilities.
Personal guaranty	Required from each owner of 20% or more.
Site visit	Annual site visit by Cumulus for loans \$1M and above.

COMMON QUESTIONS

Frequently asked questions

What is Cumulus's Preferred Lender status?

Cumulus participates in the SBA Preferred Lender Program (PLP), which grants delegated credit and servicing authority for SBA 7(a) loans. PLP allows Cumulus to make credit decisions without SBA pre-approval, substantially shortening the decision timeline from 30–45 days to 15–21 days on complete packages.

7(a) vs 504 — which program fits my project?

Use 504 for owner-occupied commercial real estate, major construction, and long-lived fixed equipment where a fixed-rate, fully-amortizing 25-year CDC debenture on 40% of the project is the lowest-cost structure. Use 7(a) when you need working capital, business acquisition, goodwill, or multi-purpose financing that 504 does not cover.

What fees does SBA charge?

SBA charges a guaranty fee on 7(a) loans: 0% under \$150K, 2.77% on the guaranteed portion for \$150K–\$700K, 3.27% for \$700K–\$1M, and 3.5% above \$1M. The fee may be financed into the loan. 504 CDC fees total approximately 2.65% of the debenture (financed).

Is a personal guarantee always required?

Yes, for every owner of 20% or more of the borrower. This is a non-negotiable SBA requirement and applies across all three programs. Guaranties are joint and several; each guarantor submits a personal financial statement (SBA Form 413).



Can I refinance conventional debt with an SBA loan?

Yes, subject to SBA refinance rules. For 7(a) refinancing, the new SBA loan must provide a substantial benefit (generally a minimum 10% payment reduction) and the existing debt must be in current standing. 504 refinancing is available for debt at least six months old, originally used for eligible 504 purposes.

Does Cumulus offer construction financing through SBA?

Yes. Cumulus provides interim construction financing alongside SBA 504 take-out. Construction draws are managed on a percentage-complete basis with third-party inspector certification, and convert to permanent financing at certificate of occupancy.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

- § Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.
- § Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.
- § For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.
- § Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.
- § NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.
- § SBA-guaranteed loans are subject to SBA Standard Operating Procedure 50 10 and applicable SBA rules and notices. Eligibility, rate caps, guaranty fees, and program parameters are set by the U.S. Small Business Administration and may change without notice to Cumulus borrowers.
- § Cumulus is an SBA Preferred Lender under 13 C.F.R. § 120.440 et seq. Delegated credit authority does not relieve SBA of oversight responsibility or reduce SBA guaranty enforcement.
- § 504 debenture rates are set monthly at the time of debenture sale. The illustrative CDC debenture rate of 6.00% is for reference only; the rate applicable to a specific 504 transaction is fixed at debenture funding.
- § Participation by Cumulus in the SBA Veterans Advantage and Export Working Capital programs does not constitute an endorsement by SBA or the U.S. government.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL

cumulusbank-demo-bb054209d76d.herokuapp.com

Apply online, review rates, or schedule an appointment.



TREASURY SERVICES

Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.

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